i) Scheme Type

- Central Sector Education Loan Scheme of the Government of India.
- Approved by the Union Cabinet in November 2024 and implemented by the Department of Higher Education, Ministry of Education.
- Provides collateral-free and guarantor-free education loans through a unified digital platform.

ii) Objectives

The PM-Vidyalaxmi Scheme aims to:

- Ensure that no meritorious student is deprived of quality higher education due to financial constraints.
- Provide easy access to education loans through a transparent, student-friendly digital platform.
- Support students admitted to Quality Higher Educational Institutions (QHEIs) across India.
- Reduce the financial burden on students and families through interest subvention support.

iii) Eligibility Criteria

A student must satisfy the following conditions:

- Must have secured admission on merit to a notified **Quality Higher Educational Institution (QHEI)**.
- Eligible institutions include:
  a. NIRF Top 100 institutions.
  b. State Government HEIs ranked 101–200 in NIRF.
  c. Other institutions notified by the Department of Higher Education.
- The student must be pursuing a recognized degree or diploma programme.
- For **3% interest subvention**, annual family income should be **up to ₹8 lakh**.
- Students from families with annual income up to **₹4.5 lakh** may additionally be eligible for full interest subvention under the PM-USP/CSIS provisions, where applicable.

iv) Terms & Conditions

- Education loans are available through Scheduled Commercial Banks, Regional Rural Banks and Cooperative Banks participating in the scheme.
- Loan applications are processed through the **PM-Vidyalaxmi Portal**.
- A **75% Government Credit Guarantee** is available for loans up to ₹7.5 lakh.
- A **3% interest subvention** is provided on education loans up to ₹10 lakh during the moratorium period (course duration plus one year).
- The loan covers tuition fees, hostel fees, examination fees, books, equipment, laptops and other approved academic expenses.
- Repayment generally starts after completion of the moratorium period.

v) Requirements: Documents Required

Applicants generally need:

- Aadhaar Card.
- PAN Card (if available).
- Recent Passport-size Photograph.
- Admission Letter from the eligible institution.
- Fee Structure issued by the institution.
- Class X, XII and qualifying examination mark sheets.

- Income Certificate of parents/guardians.
- Address Proof.
- Bank Account Details.
- Any additional documents required by the lending bank.

vi) How to Apply

- Visit the PM-Vidyalaxmi Portal: PM-Vidyalaxmi Portal
- Register using basic personal details.
- Complete the online application form.
- Select the institution and desired bank.
- Upload required documents.
- Submit the application electronically.
- Track application status online.
- Loan sanction and disbursement are processed by the concerned bank.

vii) Government of India / Sponsoring Department (Contact Details)

Nodal Ministry: Ministry of Education, Government of India
Implementing Department: Department of Higher Education
Official Scheme Information: Department of Higher Education – PM-VidyalaxmiScheme
Official Portal:PM-Vidyalaxmi Portal

viii) Entitlement / Financial Benefits

Benefit	Details
Education Loan	Based on actual educational expenses
Collateral Requirement	Not required under the scheme provisions for eligible students
Guarantor Requirement	Not required
Interest Subvention	3% on loans up to ₹10 lakh during moratorium period
Income Ceiling for Interest Subvention	Up to ₹8 lakh annual family income
Credit Guarantee	75% Government guarantee for loans up to ₹7.5 lakh
Coverage	Tuition fees, hostel charges, books, equipment, computer/laptop and other approved academic expenses

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